DIGITALAIKART ORIGINAL

THE INDIAN LOAN DEFAULT & RECOVERY RIGHTS PLAYBOOK

2026-27 Edition

What your lender can do. What it cannot.
And exactly what to do this week.

7 PARTS · 45 SECTIONS · 17 TABLES · 4 LETTER TEMPLATES

Recovery agents · SARFAESI notices · device locking
one-time settlement · CIBIL repair · the RBI Ombudsman

Every rule verified from the Reserve Bank of India, the SARFAESI Act,
the Negotiable Instruments Act and NALSA — October 2026

Contents

How to use this playbook . . . 4
Who this is for . . . 4
The one number to remember . . . 4
The 90-second version . . . 4

Where you actually stand **6**
1. The five stages of a loan going bad . . . 6
2. Your money map: what you actually owe . . . 6
3. The audit that finds money . . . 7
4. Reading your own loan agreement in ten minutes . . . 8

The limits on your lender **9**
5. The call rules . . . 9
6. The visit rule nobody quotes . . . 9
7. What changes on 1 January 2027 . . . 10
8. Phone and device locking: the 30/60 rule . . . 10
9. App-based loans: what a legal one must show you . . . 11
10. Repossession: the line between enforcement and theft . . . 11
11. Five claims agents make that are simply false . . . 12

The legal clocks **13**
12. SARFAESI in one page . . . 13
13. Writing a 13(3A) representation that gets read . . . 13
14. When the lender goes to court instead . . . 14
15. Cheque bounce and NACH bounce . . . 14
16. Arrest, jail and the 'loan police' call . . . 15
17. Free legal help that actually exists . . . 15

Fixing it before it breaks **16**
18. The 48-hour script . . . 16
19. The four real options . . . 16
20. Restructuring: what to ask for and what to bring . . . 17
21. One-time settlement: the negotiation . . . 17
22. Selling the asset yourself versus letting it go to auction . . . 18
23. Borrowing to repay: when it helps and when it sinks you . . . 18
24. The settlement agent scam . . . 19

After: credit and rebuilding **20**
25. What 'Settled' actually does to your file . . . 20
26. Getting 'Settled' changed to 'Closed' . . . 20
27. Reading your own credit report . . . 21
28. Rebuilding in twelve months . . . 21
29. Living without new credit . . . 21

Special situations **23**
30. Credit cards break differently . . . 23
31. Guarantors and co-borrowers . . . 23
32. When the borrower dies or the family splits . . . 24
33. The first 24 hours after a notice arrives . . . 25
34. Fifteen minutes with a lawyer: what to ask . . . 25

Tools, templates and checklists **27**
35. The 30-day action plan . . . 27

36. Master document checklist . . . 27
37. Call log and evidence sheet . . . 28
38. The escalation ladder . . . 28
39. Template: written complaint to your lender . . . 29
40. Template: RBI CMS complaint . . . 29
41. Template: settlement proposal . . . 29
42. Template: representation under Section 13(3A) . . . 30
43. Quick-reference card . . . 30
44. Glossary . . . 31
45. Sources . . . 32

About this edition

Every rule, period and fee in this playbook was checked against the primary source in October 2026 — the Reserve Bank of India's directions and circulars, the SARFAESI Act, the Negotiable Instruments Act and the Legal Services Authorities Act. Where a rule changes on 1 January 2027, the text says so at that point rather than in a footnote. Rules do change. Before you rely on a deadline, confirm it on the lender's own notice and on the RBI's website, because the date on your notice is the one that counts.

The four numbers that decide most cases	What it is
90 days	The line between an overdue account and a non-performing asset. Enforcement powers begin after it.
60 days	The period a Section 13(2) demand notice gives you to pay, and the window to negotiate in.
45 days	The period to apply to the Debts Recovery Tribunal after a Section 13(4) measure.
15 days	The lender's deadline to give reasons for rejecting your Section 13(3A) objection, and the drawer's window to pay after a cheque-bounce notice.

How to use this playbook

Read the first two parts before you call anyone. Part 1 tells you exactly which stage of default you are in, which decides everything else. Part 2 tells you what your lender and its recovery agents are allowed to do, and what they are not. Together they take about twenty minutes and they will change the tone of every conversation you have for the next six months.

Then jump to whatever you need today. If an agent called this morning, go to Part 2 and Part 3. If you have received a notice under Section 13(2) of the SARFAESI Act, go straight to section 12 and work backwards to section 1. If you are still current on your EMIs but can see trouble coming next month, go to Part 4 and use the restructuring chapter before you miss a single payment.

Part 7 is the working half. It has the 30-day plan, the document checklist, the call log sheet, the escalation ladder and four letters you can copy, fill in and send. Those letters are written to be printed and posted or emailed as they are.

> **Two things this book is not**
>
> It is not legal advice, and it is not a way to avoid a debt you owe. A loan is a contract; missing EMIs has consequences and this book does not pretend otherwise. What it does is put the rules, the timelines and the paperwork in one place so that you deal with the problem from a position of knowledge instead of fear. For anything already in a tribunal or a court, talk to a lawyer — section 17 tells you where to get one free.

Who this is for

- **The person who missed one EMI and got six calls the same week.** You will find out what is and is not allowed, and how to stop the calls without hiding.
- **The person three months behind on a personal loan or a credit card.** You will find the four real options, the numbers behind each, and the words to use.
- **The person holding a Section 13(2) notice.** You have a 60-day clock and a 15-day right of reply. Section 12 and section 13 are the two pages to read tonight.
- **The family member or friend helping someone through this.** Parts 5 and 6 are written so that a second person can run the paperwork while the borrower handles the calls.
- **The person who already settled and wants their file cleaned.** Section 25 to section 28 deal with the seven-year shadow and how to shorten it.

The one number to remember

Ninety days. That is the line between an overdue account and a non-performing asset, and almost every serious power a lender has — the demand notice, possession of a mortgaged asset, the tribunal — starts after that line is crossed. Everything you do in the first 89 days is cheaper, faster and more reversible than anything you do on day 91.

The 90-second version

If you read nothing else, read this page. It is the whole book in one screen, and every line points to the section that explains it.

1. **Find your day count.** One missed EMI is not default. An account becomes a non-performing asset at 90 days past due. Between 30 and 90 days you still have room to restructure quietly.
2. **Call before they call.** A written request for restructuring, sent while you are 30 to 60 days behind, is treated as a customer in difficulty. The same request at 180 days is treated as a recovery file.

3. **Audit the number.** Ask for a full statement and a written break-up: principal, interest, penal charges, bounce charges, legal costs. Since 1 January 2024 penal charges cannot be charged as penal interest and cannot earn further interest.
4. **Check what was disclosed.** For retail and MSME term loans sanctioned on or after 1 October 2024, the lender must give you a Key Facts Statement with an all-in APR. A charge that is not in the KFS cannot be levied without your consent.
5. **Know the call window.** Recovery contact is allowed between 8:00 am and 7:00 pm, only with the borrower or guarantor, and never with neighbours, employers or relatives for pressure.
6. **Know the visit rule.** Before an agent visits in person, the lender must tell you the agency's details. From 1 January 2027 that intimation must reach you at least one day before the first visit.
7. **Never hand over a phone.** If your phone was bought on EMI, the lender may lock it only after 30 days past due, only gradually, never blocking incoming calls, SMS or SOS, and must unlock within an hour of payment. Wrongful locking carries Rs 250 per hour.
8. **Watch the 60-day notice.** A Section 13(2) SARFAESI notice gives you 60 days. You may object in writing under Section 13(3A) and the lender must reply with reasons within 15 days.
9. **Then 45 days.** If the lender takes possession or another measure under Section 13(4), you have 45 days to apply to the Debts Recovery Tribunal.
10. **Settlement is a real option, but it is not free.** A settled loan is reported as 'Settled', not 'Closed', for up to seven years. Section 21 shows how to negotiate it properly and section 26 shows how to get it changed later.
11. **Escalate for free.** Lender's grievance officer, then the RBI Complaint Management System at cms.rbi.org.in. No fee, no lawyer needed, and the Ombudsman can award up to Rs 1 lakh for harassment.
12. **Ignore anyone who offers to 'settle' your loan for a fee.** No legitimate intermediary can do anything you cannot do yourself for free. Section 24 lists the five red flags.

One more page of navigation. Find your situation in the left column and go straight to the section in the right. Sections 9, 32 and 43 are also worth a look if your case has an app loan, a death in the family or a need for the whole thing on one sheet.

If this is you	Start at
I have missed one EMI and the calls have started	Section 5, then section 18
I am 40 to 70 days behind and want to stop it getting worse	Section 19 and section 20
A recovery agent is threatening me or calling my family	Section 5, section 32, then section 38
My phone has been locked by a lender	Section 8
I have received a notice under Section 13(2)	Section 33, then section 12 and section 42
I want to settle but do not know what to offer	Section 21 and section 41
I am a guarantor and they are calling me	Section 31
I already settled and my CIBIL still says 'Settled'	Section 26
I want to complain to the RBI	Section 38 and section 40

PART 1

Where you actually stand

Default is not one event. It is a staircase with five landings, and the rules, the costs and your options change at each one. Find your landing before you do anything else.

1. The five stages of a loan going bad

Lenders do not react to a missed EMI; they react to a missed EMI after a fixed number of days. Those thresholds are set by the Reserve Bank of India's income recognition rules and they are the same for a bank, a non-banking finance company and a housing finance company. Knowing which threshold you have crossed tells you what is about to happen next.

Stage	Day count	What the lender can do	What you should do
Overdue	1-30 days	Reminders by SMS, email and calls. Late payment or bounce charges under the loan contract.	Pay the EMI plus charges, or call and ask for a short extension in writing.
SMA-0	1-30 days	Classified as Special Mention Account 0 internally; no external consequence yet.	This is the cheapest moment to ask for restructuring. Do it now.
SMA-1	31-60 days	Stronger follow-up, field calls possible, credit report shows overdue.	Send a written hardship request. Ask for tenure extension before EMI reduction.
SMA-2	61-90 days	Recovery team takes over. Agency may be assigned and intimated to you.	Negotiate in writing. Get every promise on email or letter.
NPA	90+ days	Account is a non-performing asset. For secured loans the SARFAESI clock can start; for unsecured loans, legal notices and eventual suit.	Get legal help. Section 12 onwards.

Two things follow from this table. First, the word 'default' in your loan agreement usually means something narrower than people assume, and the lender's internal classification is what triggers its powers. Second, the gap between day 30 and day 90 is the only period in which you are still negotiating as a customer rather than being managed as a recovery case. Most people spend that gap avoiding calls. That is the single most expensive mistake in this entire book.

> **The classification ladder in one line**
>
> Overdue up to 30 days is SMA-0, 31 to 60 days is SMA-1, 61 to 90 days is SMA-2, and anything past 90 days is an NPA. The jump from SMA-2 to NPA is the one that unlocks enforcement.

2. Your money map: what you actually owe

Before you negotiate, you need a number you trust. Lenders rarely send one unless asked, and the figure quoted on a phone call is almost never the figure that appears on a statement. Build your own schedule from four lines.

Line	What belongs in it	What to check
Principal outstanding	The unpaid loan amount, excluding all charges.	Match against your amortisation schedule, not the lender's summary.

Line	What belongs in it	What to check
Interest due	Accrued interest at the contracted rate until the date of the statement.	Ask for the rate actually applied, not just the headline rate.
Penal charges	A flat charge for breaching a material term, including late payment.	Must be a charge, not a penal rate of interest, and must not itself earn interest.
Other charges	Bounce or return charges, legal and notice costs, insurance premiums routed through the lender.	Anything not in your Key Facts Statement needs your consent to be charged.

Ask for this in writing, by email, using the words: 'Please provide a complete statement of account from disbursement to date, with a separate break-up of principal, interest, penal charges, other charges and amounts recovered.' A lender is entitled to charge only what the contract and the disclosed schedule allow, and a written request creates a record you will need later if the numbers do not match.

Two rules do most of the work here. Since 1 January 2024, a penalty for breaching a loan term must be levied as a **penal charge** — a rupee amount — and not as a penal rate of interest added to your loan rate. There can be no capitalisation of penal charges, which means no further interest can be computed on them. The charge must be reasonable, must be disclosed in your loan agreement and Key Facts Statement, and must be communicated to you whenever a reminder is sent. These rules apply to banks, NBFCs and housing finance companies, but not to credit cards, which are governed separately.

The second rule is about disclosure. For every retail and MSME term loan sanctioned on or after 1 October 2024, the lender must hand you a Key Facts Statement before you sign — a one-page schedule carrying the all-in Annual Percentage Rate, every fee, every contingent charge, and the amortisation schedule. The APR must include charges routed through the lender to third parties, such as insurance and legal charges. And the rule that matters most when you are in trouble: any fee or charge not mentioned in the Key Facts Statement cannot be charged at any stage without your explicit consent.

3. The audit that finds money

Run this five-step audit once. In our experience of the complaints that reach the RBI Ombudsman, a meaningful share turn on arithmetic rather than conduct — a charge applied twice, interest computed on a penal amount, a foreclosure charge on a floating rate loan that should not carry one, an insurance premium added without a mandate.

1. **Get the statement and the Key Facts Statement side by side.** If you were not given a KFS, say so in writing. The absence itself is a complaint.
2. **List every charge and tick whether it appears in the KFS.** Anything that does not appear needs your consent, and consent means a signed or digitally authenticated mandate, not a clause buried in a 30-page agreement.
3. **Check whether penal charges earned interest.** Take any penal amount, and see whether the next month's interest was computed on the balance that already included it. If yes, that is capitalisation and it is not permitted.
4. **Check the rate reset.** On a floating rate loan, ask for the quarterly statement showing principal and interest recovered to date, the EMI amount, the number of EMIs left and the APR for the whole tenor. If the tenor stretched without your consent, ask for the reset communication.
5. **Check the recovery credits.** Every rupee you paid — including cash paid to a field agent — must be reflected in the account on the same day. If a payment is missing, that is the strongest single item you can raise.

On floating rate EMI loans there is a specific protection worth knowing. When the benchmark moves, the lender must offer you a choice between a higher EMI, a longer tenor, or a mix of both — and must tell you

immediately when either changes. Since 1 October 2025 the option to switch from floating to fixed at the time of a rate reset is at the lender's discretion rather than mandatory, but the EMI-versus-tenor choice and the quarterly statement remain. If your home loan quietly grew from 20 years to 28 years, that is the clause to quote.

4. Reading your own loan agreement in ten minutes

You do not need to read all of it. Six clauses decide almost everything that happens next. Search the PDF for these words and write the clause number next to each on a single sheet.

- **'Events of default'** — what exactly triggers the lender's rights, and whether a grace period applies.
- **'Penal' or 'late payment charges'** — the amount, and whether it is expressed as a rate or a charge.
- **'Recall' or 'acceleration'** — the clause that lets the lender demand the entire balance at once. This is the clause behind most demand notices.
- **'Possession'** — for secured loans, whether the contract contains a possession clause and what notice period it promises.
- **'Arbitration'** — whether disputes go to an arbitrator instead of a court, and where the seat is.
- **'Assignment'** — whether the loan can be sold to an asset reconstruction company without your consent. Most can.

One practical note on that last clause. If your loan is assigned to an asset reconstruction company, the new holder steps into the lender's shoes and gains the same enforcement powers. It does not gain new ones. The 60-day notice, the 15-day reply and the 45-day tribunal window all still apply, and an assignee that skips a step is in the same position as a bank that skipped it.

There is a fifth thing to know about how a lender's file actually behaves. The officer you speak to changes every few weeks; the file does not. What survives a change of officer is the note someone typed after the call, and the note is written from the lender's side. That is why a verbal promise is worth nothing and a dated email is worth everything: you are not persuading a person, you are inserting a document into a record that will be read by someone who has never met you.

One legal detail decides more cases than it should. A civil claim for money has a limitation period, and a written acknowledgement of the debt signed by you can start that clock again. This is why you should never sign a vague 'acknowledgement of debt' or a blank statement of account pushed across a table by an agent. Signing a settlement letter or a restructuring agreement is fine — those are agreements with terms. Signing a bare acknowledgement of an amount you have not verified gives away your best defence for nothing in return.

Set-off is the other clause people discover too late. A bank can generally adjust a defaulted loan against deposits you hold with the same bank, under the right of set-off in your agreement. That is not the same as reaching into accounts you hold elsewhere — no lender has unrestricted access to another bank's accounts without a court order or a legal process. If you have a fixed deposit with the same bank you have defaulted with, assume it is at risk, and plan around it rather than being surprised by it.

Finally, understand what 'material terms and conditions' means, because it decides whether a charge is legitimate. It is whatever the lender's board-approved credit policy defines it as, and it varies by product and by lender. That sounds vague, and it is — which is exactly why the rule requires the charge to be disclosed in your loan agreement and Key Facts Statement and communicated to you whenever a reminder is sent. If you were never told what the charge was for, ask. The answer is often a waiver, because the paperwork behind it does not exist.

With that in hand you know where you stand, what you owe, what is being charged and what the file looks like from the other side. That is the whole of Part 1, and it is enough to walk into Part 2 without being talked into anything.

PART 2

The limits on your lender

A lender's power to recover is real but it is bounded. These are the boundaries, written as rules you can quote on a phone call.

5. The call rules

Recovery conduct is governed by the RBI's responsible business conduct directions, which apply to banks, non-banking finance companies and housing finance companies. The rules on contact are specific enough to be quoted verbatim, and quoting them changes the conversation.

Rule	What it means for you
Contact hours are 8:00 am to 7:00 pm	Calls or visits outside these hours need your express request or authorisation. Your request to avoid a particular time must be honoured in normal circumstances.
Only the borrower or guarantor is to be contacted	An agent may discuss the loan only with you or your guarantor. Calling your neighbour, employer, colleague or parent to pressure you is a breach.
No harsh methods	Abusive or threatening language, anonymous calls, posting your details or recordings on social media, excessive calls, and false statements about the debt or its consequences are all defined as harsh methods.
No contact on certain occasions	Bereavement in the family, medical emergencies, marriage functions and similar occasions are to be avoided.
Identity on every visit	An agent must show an identity card issued by the agency and an authorisation letter from the lender, and must carry the notice the lender sent you.
Receipts for every payment	Any collection, including cash, must be acknowledged with a proper receipt.
Calls are recorded	The lender must record calls with you, keep the record for six months, and tell you the call is being recorded.

There is one more rule that most borrowers never use, and it is the most useful of the lot. Where you have lodged a grievance about the dues or the recovery, the lender must not hand the case to an agent or employee for recovery until that grievance is finally disposed of. A written complaint is therefore not just a record — it is a pause button on field recovery, provided you put it in writing and keep the acknowledgement.

6. The visit rule nobody quotes

Before a case goes to an agency for an in-person visit, the lender must notify you of the agency's details — name, type, correspondence address, period of engagement, purpose and the area assigned. Until 31 December 2026 that intimation is required before the first visit. From 1 January 2027 it must reach you at least one day before the first visit, by message or email to your registered mobile number and email address, or by letter to your current address at least three days before if those are not on record.

So the first question to ask any agent standing at your door is not 'how much do I owe' but 'which agency are you from, and show me the intimation the bank sent me before this visit'. If they cannot, you are within your rights to end the conversation, ask them to leave, and put the incident in writing to the lender's grievance officer the same day. Also note: the lender must publish the list of agencies it has engaged on its website and app, and must update it within seven calendar days of any change.

7. What changes on 1 January 2027

The RBI issued a new recovery framework for banks and non-banking finance companies in August 2026. It was originally to take effect on 1 October 2026 and was moved to 1 January 2027 after industry feedback. Until 31 December 2026 the existing conduct rules apply — the call hours, the no-harassment list and the identity requirements above are already in force. From 1 January 2027 the following are added.

- **Certified agents only.** A recovery agency may deploy only agents who hold a certificate from the Indian Institute of Banking and Finance after completing its debt recovery agent training. Agents already engaged without the certificate have until 1 January 2028 to obtain it, but must be certified before interacting with borrowers.
- **A published agency list.** The lender must keep an up-to-date list of empanelled agencies on its website and app, with type, address, period and purpose of engagement, updated within seven days of any change and immediately on termination.
- **A grievance officer named in every communication.** Every recovery communication must carry the name, email, telephone number and address of the lender's recovery grievance officer.
- **Recorded calls kept six months.** The lender must document the time and number of calls and record their content, keeping the record for six months or until disposal of any sub judice case.
- **No recovery targets that reward aggression.** Incentive structures must not induce harsh practices.
- **Compensation written into policy.** The lender's policy must provide for compensation to borrowers or guarantors for loss caused by recovery actions that breach the directions.
- **A written policy on financial distress.** Lenders must have a documented pre-escalation process and tell borrowers about available resolution options before escalating.

Why this matters even before January: the new framework does not create new rights so much as it makes existing ones enforceable. A lender that has to publish its agency list, name a grievance officer in every letter and keep six months of call recordings is a lender you can hold to account with a single dated email. Start keeping your own log now — section 37 gives you the sheet.

8. Phone and device locking: the 30/60 rule

This is the newest and least understood protection in Indian lending, and it applies to a very specific product: a phone, tablet or laptop bought on a loan financed by the lender. The RBI has permitted lenders to restrict or disable the functionality of such a device as a recovery tool, but only inside a tight set of conditions.

Condition	The rule
Only the financed device	A lender may not use a technology mechanism to restrict any device except one whose acquisition it financed through a loan.
Contract must say so	The loan agreement must expressly and unambiguously permit it, including the procedure to be followed.
Nothing before 30 days	No restriction may be applied until the loan is at least 30 days past due and a notice has been served.
Gradual from day 30	Between 30 and 60 days past due, only gradual restrictions. Outgoing calls may not be blocked in this window.
Full restrictions after 60 days	The full set of restrictions in the contract may apply only after the loan is more than 60 days past due.
Never block essentials	Incoming calls, SMS and emergency SOS features may never be restricted or disabled.

Condition	The rule
Work access preserved	Restrictions must not deny the borrower access needed for work or employment.
Visible status	The borrower must be able to see the status of restrictions at any point.
Unlock within one hour	Restrictions must be reversed not later than one hour after the dues are realised.
Rs 250 per hour	For wrongful restriction, or delay in reversal attributable to the lender, the borrower is compensated at Rs 250 per hour, capped at the loan amount disbursed.
Prepayment always allowed	The borrower retains the right to prepay the loan, partly or fully, at any stage.

If your phone has been locked, the sequence is: pay nothing over the phone, photograph the lock screen, note the time of payment if you have already paid, and email the lender's grievance officer quoting the one-hour reversal rule and the Rs 250 per hour compensation. If the device was never financed by that lender, or the lock appeared before 30 days past due, or incoming calls are blocked, you have a complaint that the RBI Ombudsman can act on — and a compensation figure you can state in rupees rather than describe as inconvenience.

9. App-based loans: what a legal one must show you

Digital lending is governed by the RBI's Digital Lending Directions, 2025. Every app that lends, or that fronts for a lender, sits under these rules. When a loan app does not meet them, it is usually not a regulated lender at all — and that changes your remedies completely.

- **A named lender.** The app must identify the regulated entity. Money must be disbursed into your bank account, never to a third-party account or the app's own account.
- **A Key Facts Statement.** Digitally signed documents — KFS, sanction letter, terms, privacy policy — must reach your registered email or SMS automatically when the loan is executed.
- **A cooling-off period.** You may exit a digital loan by paying principal plus the proportionate APR with no penalty, during a window of at least one day set by the lender's board.
- **A nodal grievance officer.** Contact details must be displayed on the app and the lender's website, and complaints must be lodgeable inside the app.
- **Recovery agent identity in advance.** When an agent is assigned or changed, the particulars must reach you by email or SMS before the agent contacts you.
- **Data kept in India, collected with consent.** Collection must be need-based with a prior, explicit consent and an audit trail; storage must be on servers in India.
- **Lender is liable for the app.** Outsourcing does not dilute the lender's obligations. The lender remains fully responsible for the acts and omissions of its lending service provider.

And if the app is not regulated at all — no named lender, contact access demanded, a photo of your ID and your contacts uploaded, calls to your family within days of a missed payment, a 7-day loan at a rate that would make a moneylender blush — then you are dealing with an unauthorised lender, and the remedy is different. Report it on the Sachet portal, file on the National Cybercrime Reporting Portal at cybercrime.gov.in, or call 1930. Do not pay a 'settlement' to an entity that cannot show you a lender's name; paying confirms your number to them.

10. Repossession: the line between enforcement and theft

For a secured loan — home, vehicle, gold, loan against property — a default does not transfer your asset to the lender. It gives the lender a right to enforce the security through a process. Skipping the process is not enforcement; it is a wrong you can sue over.

Where the loan contract contains a possession clause and the lender relies on it, the contract must state the notice period before possession, the circumstances in which that period can be waived, the procedure for taking possession, the borrower's final chance to repay before sale or auction, the procedure for returning possession, and the procedure for sale. If your contract has none of that and someone arrives to take the vehicle, the first thing to ask for is the clause they are relying on.

Three things are never part of recovery, whatever the agent says: entering a locked house without authority, taking assets that are not the secured asset, and taking the vehicle while leaving you without the notice the contract promised. In each case, the response is the same — do not physically resist, do not sign anything, note the time, the names and the vehicle numbers, call the police if there is a threat to person or property, and put it in writing to the lender and to the RBI the same day. A physical confrontation at your door is a criminal matter and a regulatory matter at once, and the second one is the one that gets you a call from a senior officer.

11. Five claims agents make that are simply false

These are the lines borrowers report most often. None of them is a statement of law.

'A non-payment will send you to jail.'	Unpaid debt is a civil matter. There is no imprisonment for failing to repay a loan. Two things can become criminal and neither is the loan itself: dishonour of a cheque given for the debt, and fraud or misrepresentation at the time of borrowing. Section 16 sets both out.
'We will call your office and your neighbours until you pay.'	Contact about the loan is permitted only with the borrower or the guarantor. Pressure through third parties is on the RBI's list of harsh methods, which the lender is answerable for even when an agency does it.
'Your CIBIL score is destroyed forever.'	A default stays on your report for years, but the record is not permanent and it can be corrected. A wrongly reported entry can be disputed, and a settled account can be changed to closed once the balance is cleared. Sections 25 to 28.
'Sign this blank paper / this acknowledgement and we will stop.'	Never sign a document whose contents you cannot read. A signature on an acknowledgement of debt can restart a limitation period, and a signature on a settlement letter can convert a dispute into a promise.
'Pay cash to me now and I will mark it in the system.'	Every payment must be receipted and reflected in your account the same day. Pay by bank transfer or UPI to the lender's account and keep the reference. Cash to an individual, with no receipt, is how payments disappear.

PART 3

The legal clocks

Once a secured lender moves to enforcement, the whole process runs on fixed periods. Miss one and you lose an option you cannot get back. This part gives you each clock, what starts it, and what to file before it runs out.

12. SARFAESI in one page

The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 lets a secured creditor enforce security without going to court first. It is fast, and it is the reason a home loan default feels like it escalates overnight. But every step has a period attached, and each period is a chance to act.

Step	Period	What happens
Account classified NPA	90 days past due	The lender's enforcement rights under the Act begin.
Section 13(2) demand notice	60 days to pay	A written demand for the full outstanding, with a break-up of the amount and identification of each secured asset.
Section 13(3A) representation	Reply within 15 days	You may object in writing. The lender must consider it and communicate reasons for rejecting it within 15 days.
Section 13(4) measures	After the 60 days	Taking possession, taking over management, appointing a manager, or requiring a purchaser to pay the lender.
Section 17 application to DRT	45 days from the measure	An original application, not an appeal. The tribunal examines the legality of the lender's action and can restore possession.
Section 18 appeal to DRAT	30 days from the DRT order	Requires a deposit of 50% of the debt claimed or determined, whichever is less; the appellate tribunal may reduce it to not less than 25%.

Two details save people real money. First, the 60-day clock is not paused by filing an objection under Section 13(3A) — you must object and negotiate at the same time, not one after the other. Second, the 45-day window for the tribunal runs from each measure, and the process is a series of measures: possession notice, then sale notice, then sale confirmation. A borrower who misses the window against the possession notice can still challenge the sale notice, and can attack the earlier steps as the foundation of an illegal sale. Do not treat one missed deadline as the end of the matter, but do not rely on that either — the tribunal's power to condone delay has been the subject of conflicting decisions and is not something to plan around.

> **A defective notice is a real defence**
>
> A Section 13(2) notice must state the amount claimed with a break-up and identify the secured assets. A notice with a wrong outstanding figure, unidentified assets or improper service is a ground of challenge. So is a reply to your objection that is vague or does not address what you raised — the lender's duty to give reasons is mandatory, and a non-speaking reply can undermine everything that follows.

13. Writing a 13(3A) representation that gets read

Most objections fail because they are emotional rather than structured. Yours should read like a file note: facts, documents, specific requests. Send it by email and by registered post, keep the receipt, and send it well inside the 60 days so the lender's 15-day reply window still falls before enforcement can begin.

1. **Identify the loan precisely.** Loan account number, date of disbursement, sanctioned amount, current claimed outstanding, and the date and reference of the Section 13(2) notice.
2. **State what you dispute, one point per paragraph.** The amount claimed. The classification as NPA. Charges applied without disclosure. Interest computed on penal amounts. A payment not credited. A rate reset never communicated.
3. **Attach the evidence.** Statement of account, receipts, bank entries for every payment, the Key Facts Statement if you have it, and any written communication about restructuring.
4. **State your proposal separately and without prejudice.** A specific restructuring request or a specific settlement offer with a number in it. 'Without prejudice' keeps the proposal from being treated as an admission.
5. **Ask for four things in writing.** A complete statement of account with break-up; the computation of penal charges and the clause relied on; copies of all notices sent; and a decision on your proposal within a stated period.
6. **Close with the consequence.** One sentence saying that you are placing this on record for the purposes of Section 13(3A) and that you will rely on the lender's reply in any proceeding. That is not a threat; it is the reason your letter gets a considered answer.

Section 42 has the full letter. Fill in the blanks, delete what does not apply, and do not send it with a covering note that apologises for writing.

14. When the lender goes to court instead

Not every recovery runs through SARFAESI. For unsecured loans — personal loans, credit cards, consumer durable loans — there is no security to enforce, so the lender sues. Four routes matter.

- **A civil suit** for recovery of the debt, filed in a civil court or, where the amount crosses the statutory threshold, before a Debts Recovery Tribunal. Tribunals deal with bank and financial institution recovery of Rs 20 lakh and above.
- **Arbitration**, where the loan agreement contains an arbitration clause. It looks informal but ends in an award that can be enforced like a decree. If you receive an arbitration notice, respond — silence produces an ex parte award.
- **Summary proceedings** under Order XXXVII of the Code of Civil Procedure, used for debts based on written contracts. The burden shifts to you quickly: you must apply for leave to defend within the time allowed, and if you do not, the lender can get a decree without a full trial.
- **Execution**, after a decree or award. This is where attachment of salary or bank accounts becomes possible, and it is the stage where a payment plan negotiated in writing is worth more than any argument about the past.

The practical point about all four: a court or tribunal cares about documents and dates, not about how unfair the interest feels. If you have a written restructuring request that the lender ignored, or a payment it failed to credit, you have something a judge can act on. If you have only phone calls, you have nothing. That is the single reason this book keeps returning to written communication.

15. Cheque bounce and NACH bounce

Two different mechanisms, two different consequences, and people confuse them constantly.

A **cheque** returned unpaid for insufficient funds can be a criminal offence under Section 138 of the Negotiable Instruments Act, 1881. The clock is strict: the cheque must be presented within three months of its date under RBI rules; the payee must send a written demand notice within 30 days of receiving information from the bank that the cheque was returned; the drawer then has 15 days from receipt of the notice to pay; and if payment is not made, the payee must file a complaint within one month of the cause

of action arising. The offence carries imprisonment up to two years, or a fine up to twice the cheque amount, or both. If you have issued a cheque that bounced, the cheapest resolution is almost always to pay within the 15-day window and get a written acknowledgement — after that window, the matter is out of your hands.

An **EMI mandate** — NACH, ECS or a standing instruction — that bounces is not a cheque dishonour. It is a contractual default, and the consequence is a return charge plus an overdue entry on your credit report. Two things follow. First, the return charge must be disclosed in your Key Facts Statement, and the bounce itself is a material breach that can attract a penal charge but not penal interest. Second, repeated bounces can lead the lender to cancel the mandate and recall the loan, so if the mandate is going to bounce again next month, tell the lender in writing before it does and ask to change the debit date or the amount. A written request before the bounce is treated very differently from an explanation after it.

16. Arrest, jail and the 'loan police' call

There is no provision in Indian law under which a person is arrested for failing to repay a loan. Recovery of a debt is a civil claim for money. Anyone who tells you otherwise on a phone call is either misinformed or trying to frighten you, and both are on the RBI's list of harsh methods when done by or for a lender.

Two genuine exceptions exist and they are narrow. Dishonour of a cheque given towards the debt is a criminal offence under Section 138, as set out above. And fraud — obtaining credit by impersonation, forged documents or a false statement you knew to be false — can be investigated as a criminal offence independent of the debt. Neither of these is triggered by missing EMIs.

What you should do if you get a call claiming to be from a 'loan recovery police station', a 'cyber cell', a 'court notice department' or a courier with an arrest warrant: ask for the caller's name, designation and the police station or court, say nothing about the loan, do not pay anything, do not share an OTP or install any app, and hang up. Then call the lender's official number from its website and ask whether any such action has been filed. Digital arrest scams follow exactly this script and they target people who are already frightened about a loan. If money has already moved, call 1930 immediately — the first hours decide whether it can be frozen.

17. Free legal help that actually exists

Cost is the reason most borrowers never challenge a defective notice. It should not be. Under the Legal Services Authorities Act, 1987, free legal aid is available through the District Legal Services Authority in your district court premises, the Taluk Legal Services Committee in your taluk court, or the State Legal Services Authority. It covers representation by an advocate, court fees and process expenses in appropriate cases, drafting of pleadings and appeals, and certified copies of orders.

Entitlement is not limited to people below the poverty line. It covers members of Scheduled Castes and Scheduled Tribes, women and children, persons with disability and persons who are mentally ill, victims of trafficking, victims of mass disaster, ethnic violence, caste atrocity, flood, drought, earthquake or industrial disaster, industrial workmen, persons in custody, and any person whose annual income is below the ceiling notified by their state government. Those ceilings are far higher than most people assume — Delhi, Maharashtra, Karnataka, Tamil Nadu, Telangana, Kerala, Uttar Pradesh, Assam, Haryana, Punjab, Rajasthan, Odisha, Jharkhand, Himachal Pradesh, Uttarakhand, Chhattisgarh and Madhya Pradesh have all set them between Rs 1.5 lakh and Rs 3 lakh a year, while Gujarat, West Bengal and Bihar sit lower and Mizoram lower still. For Supreme Court matters the central ceiling is Rs 5 lakh. Check your own state's figure on the NALSA website before you go.

Walk into the DLSA office with your income proof, your loan documents and the notice. Ask specifically for help with a Section 17 application before the Debts Recovery Tribunal if that window is open, and take the acknowledgement. If the DLSA is slow, the lender's own 60-day clock is not — file the representation under Section 13(3A) yourself in the meantime, because that costs nothing and needs no lawyer.

PART 4

Fixing it before it breaks

Everything in this part works better the earlier you start. The same request made on day 45 and on day 200 is not the same request, because the file it lands in is different.

18. The 48-hour script

Call the lender yourself, before the next due date, and ask for the hardship or collections desk. Then say this, in this order. It takes four minutes and it changes your file from 'not responding' to 'customer in difficulty'.

1. **The position, plainly.** 'My loan account number is X. I am going to miss the EMI due on [date]. I am telling you before it happens, not after.'
2. **The reason, briefly.** One sentence. Job loss, salary delay, medical expense, business cash flow. No elaborate story; lenders have heard every version and a simple true one is more credible.
3. **The plan.** A specific number and a specific date. 'I can pay Rs 5,000 by the 20th of this month and resume the full EMI from January.'
4. **The ask.** 'Please confirm in writing what options you can offer — a tenure extension, a temporary EMI reduction, or capitalisation of the arrears. Please send it to my registered email.'
5. **The record.** 'I am also sending this in writing today. Please give me a complaint or reference number.'

Then send the email the same day, referencing the call, the time, the officer's name and the reference number. Two pages of paper will do more for you than two years of good intentions, because a lender's restructuring policy almost always asks the same question first: did the borrower approach us before we approached them? A documented yes is worth real money.

19. The four real options

There are only four ways out of a loan you cannot service. Everything else is a variation on one of them. Pick with the numbers in front of you, not with hope.

Option	How it works	Best when	Cost
Restructure	Tenor extended, EMI reduced, or arrears added back to principal and repaid over the remaining term.	Income has fallen but is stable, and the shortfall is temporary.	More total interest, longer obligation, usually no extra fee.
Refinance or balance transfer	Another lender repays this loan at a lower rate or longer tenor.	Your credit file is still clean and the rate gap is real after fees.	Processing fee, foreclosure of the old loan, fresh paperwork.
Sell the asset	You sell the secured asset yourself and close the loan from the proceeds.	Market value exceeds the outstanding plus selling costs.	You lose the asset, but on your terms and with the surplus.
Settle	The lender accepts less than the full outstanding and closes the account.	You have a lump sum, the account is already an NPA, and you accept the credit hit.	Reported as 'Settled' for up to seven years; waiver may be taxable in your hands.

One honest word on each. Restructuring is the only option that keeps your file clean, and it is the one people ask for last. Refinancing is only worth it if the rate saving over the remaining tenor exceeds the fees — a 2 percentage point saving on a loan with 18 months left rarely clears a 2% processing fee plus foreclosure charges. Selling the asset yourself is almost always better than an auction, because an

auction is a distress sale run by someone whose interest is recovery, not price. And settlement is a real tool, not a moral failure, but it must be chosen with the seven-year consequence in view.

20. Restructuring: what to ask for and what to bring

Restructuring is a board-approved policy, not a favour. Every regulated lender has one, and the person on the phone often does not know it exists. Ask for it by name and in writing.

- **Ask for a tenure extension first, not an EMI cut.** Extending the tenor reduces the EMI without adding arrears back to principal, and it keeps the account standard rather than restructured. It costs more interest overall, which is the trade you are making.
- **Ask for a temporary step-down, if offered.** Some lenders allow a reduced EMI for three to six months with the difference added to later instalments.
- **Ask what the restructuring will do to your credit report.** A restructured account is reported as such. Ask the officer to confirm in writing how it will be reported, because this is the detail people discover a year later.
- **Bring proof, not promises.** Salary slips or bank statements for the last six months, the termination letter or hospital bill that caused the gap, a written budget showing what you can actually pay, and an Aadhaar or PAN copy for verification.
- **Get the sanction in writing before you pay anything.** A restructuring letter states the new tenor, the new EMI, the effective date and the total cost. If it is not in the letter, it is not agreed.

If the lender refuses, ask for the refusal in writing and for the clause or policy provision it relies on. A written refusal is a document you can take to the lender's grievance officer and then to the RBI. A verbal refusal is worth nothing — and in practice, a request for a written refusal is often what produces the restructuring offer.

21. One-time settlement: the negotiation

A one-time settlement is the lender accepting a lump sum lower than the total outstanding and closing the account. It is a legitimate mechanism recognised in the RBI's non-performing asset framework, and lenders use it because recovering part of a debt is better than carrying it for years. It is also the option most often mishandled, in three ways: agreeing to an amount before knowing the actual figure, paying without a written settlement letter, and not asking what happens to the credit report.

Work in this order.

1. **Get the exact outstanding in writing**, broken into principal, interest, penal charges and other charges. The settlement is a percentage of something, so the something has to be right first.
2. **Find out the lender's authority.** Ask for the settlement or compromise policy, or at least the name of the committee that approves it. Field staff cannot approve a waiver; they can only forward a proposal.
3. **Make a specific offer in writing, marked 'without prejudice'.** A number, a payment date, and a statement that the offer is conditional on a written settlement letter and an NOC. A vague request for 'some waiver' gets a vague answer.
4. **Get the settlement letter before paying a rupee.** It must state the amount accepted, the date by which it must be paid, that payment closes the account in full and final settlement, that no further amount will be claimed, that a No Dues Certificate will be issued, and how the account will be reported to credit bureaus.
5. **Pay by bank transfer, keep the reference, and collect the NOC and closure letter.** Then check your credit report after 30 to 45 days. Section 26 covers what to do if it still says 'Settled' after you have cleared everything agreed.

Two warnings. First, a waiver is not automatically tax-free: the amount written off can be treated as income in your hands in certain cases. Ask a tax professional before you assume the full waiver is a gain.

Second, never pay a settlement amount into a personal account, in cash, on a promise. A settlement paid without a letter is just a payment, and the balance remains due.

22. Selling the asset yourself versus letting it go to auction

If the loan is secured and you cannot save the asset, the question becomes who sells it and at what price. In almost every case, you will get a better outcome selling it yourself, for three reasons: you can market it for months rather than weeks, you can negotiate with a buyer who is not told it is a distress sale, and any surplus after repayment comes to you rather than being absorbed in costs.

Do the arithmetic before you decide. Take the realistic market value, subtract brokerage and transfer costs, subtract the outstanding, and see what is left. If the answer is positive, selling yourself is the better path — you keep the difference and you close the loan on a date you choose. If the answer is negative, you are looking at a shortfall either way, and the decision becomes a settlement negotiation rather than a sale.

There is a timing constraint that matters. Where a lender has already issued a Section 13(2) notice, you have 60 days, and after that the lender can move to possession. A sale needs a buyer, a valuation, a token advance, a loan closure and a release of the mortgage — realistically six to ten weeks. Start in the first fortnight of the notice period or not at all, and tell the lender in writing that you are selling and ask for a statement of the exact amount required for closure on a specific date. Lenders routinely cooperate with a borrower who is actively selling, because it saves them an auction.

23. Borrowing to repay: when it helps and when it sinks you

Consolidating expensive debt into cheaper debt is one of the few genuinely good financial moves available to a person in trouble. It is also the move that most often makes things worse, because the new loan is taken from the most available lender rather than the cheapest one.

The test is simple and needs no calculator. Compare the annual rate on the money you are borrowing with the annual rate on the money you are repaying. On an unchanged balance of Rs 1,00,000, a year at 24% costs Rs 24,000 in interest and a year at 36% costs Rs 36,000. Borrowing at 36% to repay a 24% loan therefore adds Rs 12,000 a year for the privilege of feeling organised.

Situation	New borrowing at	Existing debt at	Verdict
Credit card balance	14-18% personal loan	36-48% revolving	Usually worth it, if the card is then frozen
Instant app loan	14-18% bank loan	30-40% app loan	Worth it, and report the app if it was unregulated
Personal loan	36% app loan	24% NBFC loan	Never. This is the trap
Gold loan	9-12% gold loan	36-48% credit card	Often the cheapest real option you already own
Friend or family	0% but relational	24% personal loan	Works only with a written schedule both sides keep

Two rules make consolidation safe. Close or freeze the old facility on the same day the new money lands, because a cleared credit card is an invitation to spend it again. And never consolidate unsecured debt into a secured loan — turning a credit card balance into a loan against your house converts a problem you can survive into a problem that can take your home. If a lender or agent proposes exactly that, walk away.

24. The settlement agent scam

Search for help with a defaulted loan and you will find people offering to 'settle your loan', 'remove your CIBIL default' or 'stop recovery calls' for an upfront fee. Almost all of them are selling you something you can do yourself for nothing, and some of them are committing fraud with your documents.

They ask for a fee before any work	Every step in this book is free: the written request, the grievance, the RBI complaint, the settlement proposal. A legitimate lawyer charges for legal work, not for 'settling' a loan, and never takes a percentage of a waiver.
They ask for your net banking login, OTP or card details	No one needs these. Not a lawyer, not an agent, not a 'CIBIL officer'. Sharing them is how accounts are emptied and new loans are taken in your name.
They guarantee a specific waiver	No one can guarantee an outcome decided by a lender's internal committee. A guarantee is a sales line.
They offer to 'remove' your CIBIL default	A genuine entry cannot be deleted. It can be corrected if it is wrong, and a settled account can be changed to closed once cleared. Anyone promising deletion is promising to falsify a credit record.
They want you to sign a blank authorisation or a power of attorney	Never sign an authority you cannot read. A general power of attorney over your finances is a loaded weapon.

The one legitimate paid service worth considering is a lawyer, engaged for a specific task with a written scope and a fee, when a matter is already before a tribunal or a court. Even then, check whether you qualify for free legal aid first — section 17.

If the lender rejects your first settlement proposal, three things are worth doing before you give up. Ask for the rejection in writing, with the amount the committee would accept. Raise the offer once, in writing, with a reason attached — a specific lump sum available on a specific date is a different proposition from a number in the air. And ask whether the lender will accept the same amount in instalments over three to six months, because many will, and an instalment settlement you can actually fund beats a lump sum you have to borrow at 36% to reach.

If your loan has been assigned to an asset reconstruction company, negotiate with the assignee, not the original lender. An assignee bought the debt at a discount, which means the arithmetic it needs to clear is different and often more flexible than the originating bank's. Ask for the assignment deed reference and the date of assignment in writing, so you know you are dealing with the right party, and send the proposal to the assignee's own grievance officer with a copy to the original lender.

Whatever schedule you agree, the settlement letter must state what happens if you miss an instalment. A settlement that is paid late is usually treated as withdrawn, the original amount is revived, and any part payment already made is adjusted against it. That is not unfair if it is written down, and it is a trap if it is not. Read that clause before you sign, and if it is missing, ask for it to be added.

And if you cannot fund even the reduced amount, say so plainly rather than signing a schedule you will break. A broken settlement is worse than no settlement: you lose the part payments, the waiver, and the credibility you will need for the next proposal. In that position the right move is a restructuring request, not a settlement offer, and section 20 is the one to use.

When it is over, collect three documents and keep them for a decade: the settlement letter, the payment proof, and the No Dues Certificate with the closure letter. Those three are what you will produce in five years when a lender's system still shows an amount outstanding, and producing them turns a two-month argument into a two-day correction.

PART 5

After: credit and rebuilding

The debt ends. The record does not, immediately. This part is about the gap between the two, and how to shorten it.

25. What 'Settled' actually does to your file

When a lender accepts less than the full amount, it reports the account to credit bureaus with the status 'Settled'. When you repay everything, it reports 'Closed'. The two words look similar and behave nothing alike. 'Closed' means you met the obligation. 'Settled' means you did not, and future lenders read it that way.

- **The score drop is immediate.** Borrowers typically see a fall of 75 to 100 points, and sometimes up to 150, depending on the loan type and the repayment history before the default.
- **The tag stays for up to seven years** from the date of settlement, and lenders can see it for that entire period.
- **Approvals get harder, not impossible.** A settled account is a red flag, so expect rejections on unsecured credit and closer scrutiny on secured credit, especially another loan of the same type.
- **Recovery takes discipline and time.** A realistic rebuilding period is 12 to 24 months of clean repayment on whatever credit remains available to you.

None of that is a reason to avoid settlement if you genuinely cannot pay the full amount. Continued non-payment produces a worse record, mounting interest and a longer shadow. It is a reason to settle with your eyes open, to get the letter right, and to plan the clean-up from the day you pay.

26. Getting 'Settled' changed to 'Closed'

This is the most useful thing in this part, and almost nobody does it. If you settled for less and later pay the remaining balance, the account should move from 'Settled' to 'Closed'. The route has three steps and takes about a month.

1. **Pay the remaining outstanding** to the lender and obtain a No Objection Certificate and a closure letter confirming the account is fully cleared.
2. **Raise a dispute with the credit bureau** through its website, attaching the NOC and the closure letter, and state plainly that the account has been fully paid and should be reported as 'Closed'.
3. **Wait for the bureau to verify with the lender.** The bureau confirms the position with the lender and, where the lender agrees, the status changes from 'Settled' to 'Closed', typically within 30 days of the dispute.

The same dispute route fixes wrong entries that have nothing to do with settlement: a loan you never took, an account shown as due when you paid, a duplicate entry, a wrong overdue amount, a closed loan still marked active. Every bureau must give you a way to dispute, and every lender must correct information it confirms is wrong. Keep the acknowledgement of the dispute and the date; if 30 days pass with no change, escalate to the lender's grievance officer and then to the RBI, naming the bureau as well if it has not acted.

27. Reading your own credit report

There are four credit bureaus in India — TransUnion CIBIL, Experian, Equifax and CRIF High Mark — and lenders report to them, so your file can differ between them. You are entitled to a free full credit report from each, once a year. Get all four, because a wrong entry is often present in one and absent in another, and the one that matters is whichever bureau your next lender happens to pull.

Read it in this order. First the personal details — a wrong PAN or a misspelt name creates duplicate files. Second, the account list, line by line: lender, type, sanctioned amount, current balance, amount overdue, status, and the date of last payment. Third, the enquiry section, which shows who has pulled your report; a cluster of enquiries in a short period is itself a scoring negative, which is why applying to eight lenders in a week is worse than applying to two. Fourth, the dispute history.

Circle every entry you do not recognise. An account you never opened is either a reporting error or identity theft, and both need a dispute and, in the second case, a police complaint. An account showing overdue when you paid needs a receipt and a dispute. Do not wait until you need a loan to read this — by then the correction will not arrive in time.

28. Rebuilding in twelve months

A credit score is a record of behaviour, so rebuilding is a matter of producing twelve months of boring behaviour. The sequence below is ordered by impact per unit of effort.

1. **Clear every small overdue first.** A Rs 800 unpaid phone bill or a Rs 1,200 card balance marked overdue does disproportionate damage. Clear the small ones before the large ones.
2. **Keep one active line of credit and use it lightly.** A secured credit card against a fixed deposit, or a small card you use for one recurring bill, gives you something to be on time with. Aim to use under 30% of the limit.
3. **Never miss a payment date again, on anything.** Set auto-debit on every account and keep one month's buffer in the account. A single fresh 30-day overdue resets the clock on your rebuild.
4. **Stop applying.** Every rejected application is an enquiry on your file. Apply only where you have checked your eligibility first.
5. **Do not close old accounts in good standing.** Length of credit history helps. Close the expensive ones; keep the old clean ones.
6. **Fix the file itself.** Dispute every wrong entry, and get 'Settled' changed to 'Closed' wherever you have cleared the balance. A correction can move a score more than six months of good behaviour.

Expect the first visible improvement in three to four months, a meaningful one in six, and near-full recovery in 18 to 24 months if nothing new goes wrong. Anyone who tells you it takes 30 days is selling something.

29. Living without new credit

For a year or two, you may not get an unsecured loan or a new card at a sensible rate. That is survivable, and it is better than paying 36% to prove a point. Four options actually work in India.

- **Gold.** A gold loan against household jewellery is usually the cheapest secured credit available, is disbursed in hours, and does not depend on a credit score. Borrow the minimum, and read the auction clause before you sign.
- **Secured cards.** A card issued against a fixed deposit gives you a credit line, reports positively to bureaus, and rebuilds the file. The deposit earns interest while it is pledged.
- **Employer advances and salary-linked options.** Many employers offer an advance against salary at no interest. It is cheaper than any loan and invisible to credit bureaus, which cuts both ways.

- **Rent, utilities and discipline.** Pay rent by bank transfer with a clear reference, keep electricity and phone bills current, and keep six months of statements. Several lenders now accept bank statement analysis for small loans where a score is weak.

What does not work: borrowing from a moneylender at 10% a month, borrowing in someone else's name, or using a buy-now-pay-later facility you do not understand. Each of those ends the same way, one step further down.

Use this order of attack when you need money and the bank will not lend. Cheapest and safest first, most expensive last.

Source	Cost	Speed	Watch out for
Employer salary advance	Often interest-free	Days	Repaid from salary, so it reduces next month's cash. Check the limit.
Family loan with a written schedule	Zero or nominal	Days	Put it in writing, both sides. Verbal family loans end relationships.
Gold loan	Usually the lowest secured rate	Hours	Read the auction clause; borrow well below the appraised value.
Secured credit card against FD	Card rate, but builds your file	Days	Use under 30% of the limit and clear in full every month.
Personal loan from a bank or NBFC	Moderate to high	Days to weeks	Only if the rate is below what you are repaying. Section 23.
Loan against property	Low rate, high risk	Weeks	Never convert unsecured debt into a claim on your home.
Instant app loan	Highest	Minutes	Only from a lender you can name. Section 9.

Three assets people reach for and should not. A provident fund withdrawal is allowed only for specified purposes, and an advance rather than a withdrawal is usually the right route where it is permitted — but note that provident fund balances are generally protected from attachment by a court, which means the money is safer where it is than in a settlement you have not signed. A life insurance policy surrendered early returns far less than the premiums paid; if you need liquidity against a policy, a loan against it is almost always better than surrender. And an NPS corpus withdrawn before the permitted age is taxed and locked in ways that make it a poor source of emergency cash.

The one thing to protect above all else is your ability to earn. A loan default is survivable; a default plus a damaged vehicle, a lost job or a health emergency is not. Keep the two-wheeler that gets you to work, keep the health cover premium current even if you are behind on a personal loan, and do not sell the tools of your trade to service an unsecured EMI. Lenders recover from income, not from your furniture — and so do you.

None of this is comfortable. But there is a version of the next two years in which you keep the house, keep the vehicle, keep the job, close the accounts one at a time and come out with a clean file and a smaller life. That version starts with the arithmetic in Part 1 and the letters in Part 7, not with a loan from the person who calls you every morning.

PART 6

Special situations

Five cases that do not fit the standard script: cards, guarantors, a death in the family, the day a notice arrives, and the fifteen minutes you get with a lawyer.

30. Credit cards break differently

A credit card is the most common unsecured default in India and the least understood. Three things make it different from a loan. It is unsecured, so there is no SARFAESI route and nothing to repossess. It is excluded from the Key Facts Statement rules. And its charges are governed by product-specific directions and your cardholder agreement rather than by the penal-charges circular that protects loan borrowers.

That last point matters, because card interest compounds monthly on a revolving balance and the effective annual cost lands between 36% and 48% on most Indian cards. The arithmetic of paying only the minimum due is the single most expensive habit in personal finance.

Line	Amount	What it means
Outstanding balance	Rs 1,00,000	Assumed for illustration, at 42% a year (3.5% a month).
Minimum due at 5%	Rs 5,000	The figure the statement asks for. Paying it keeps the account standard.
Interest charged this month	Rs 3,500	3.5% of the full balance, computed on the whole Rs 1,00,000.
Principal actually repaid	Rs 1,500	The rest of your payment was interest. At this pace the balance takes years to fall.

There is a second trap inside the first. The interest-free period on a card applies only if you clear the previous statement in full. Once you revolve any balance, fresh purchases start attracting interest from the transaction date, not the due date, and cash withdrawals never had an interest-free period at all. So a card you are 'managing' by paying the minimum charges interest on everything you spend from the day you spend it.

What to do, in order. Stop using the card. Ask the lender to convert the outstanding balance into an equated instalment plan on the card — most issuers offer this, the rate is lower than the revolving rate, and it turns a compounding balance into a fixed monthly payment. Ask for the conversion in writing with the rate, the tenor and the total cost. If the account is already overdue, treat it exactly like an unsecured loan: written hardship request, written repayment proposal, and the escalation ladder in section 38 if the response is silence. And never use a 'card settlement' agent — the lender's own settlement committee is the only party that can approve anything.

31. Guarantors and co-borrowers

People sign as guarantor for a relative and assume they are a formality. They are not. A guarantor's liability is co-extensive with the borrower's, which means the lender can demand the whole amount from the guarantor without first exhausting its remedies against the borrower, unless the contract says otherwise. In practice, the guarantee is called the moment the borrower stops answering the phone.

Role	What it means in practice
Borrower	Owes the debt and is the primary party. Every notice is addressed here first.

Role	What it means in practice
Co-borrower	Owes the debt jointly. Appears on the loan as a borrower, is assessed on income, and the EMI is a shared obligation.
Guarantor	Owes the same amount if the borrower does not pay. Their credit report shows the guarantee, and a default on it damages their own score and borrowing capacity.
Guarantor who mortgaged property	Has given a secured asset for someone else's debt. Enforcement under SARFAESI can reach that property, and the guarantor can challenge it before the tribunal as a person aggrieved.

If you are a guarantor, three rights are worth knowing. You can ask the lender for a statement of the account at any time, and you can use the same grievance and Ombudsman routes the borrower can. If you are forced to pay, you step into the lender's shoes against the borrower and can recover what you paid. And when the loan is repaid, you are entitled to a written release — ask for it, because a guarantee that is not formally released can sit on your credit file and affect your own applications.

If you are asked to sign a guarantee, cap it. Ask for the guarantee to be limited to a stated amount and a stated period rather than 'all amounts due now or later', and get a copy of the signed document. An unlimited, open-ended guarantee over a business loan is how families lose houses for debts they never spent.

32. When the borrower dies or the family splits

A loan does not end with the borrower. The liability passes to the estate, and legal heirs are answerable to the extent of what they inherit. A guarantor remains liable regardless. What changes is who is negotiating, and the sequence below is what keeps a grieving family from losing an asset to a process nobody explained.

1. **Tell the lender in writing immediately.** A death is not a default and most lenders have a separate process for it. Silence is what turns it into one.
2. **Ask for two things at once:** a statement of the outstanding as on the date of death, and the claim forms for any bundled credit shield, loan protect or home loan insurance plan. Check the sanction letter and the original paperwork — many home loans were sold with a single-premium cover added to the loan itself.
3. **If there is a cover, claim it.** These claims are settled by the insurer, not the lender, and typically need the death certificate, a completed claim form, the outstanding statement and the lender's confirmation. Follow up in writing every fortnight and keep reference numbers.
4. **If there is no cover, decide as a family:** continue the EMIs and keep the asset, sell the asset and close the loan, or settle. All three are legitimate. What is not legitimate is letting the account go silent while the family argues.
5. **Do not distribute the estate before the loan is closed.** Paying heirs and leaving a debt behind transfers the problem to whoever signed the papers. And do not assume a nominee on a deposit or a policy is the same as the person entitled to the estate — take advice before anything is transferred.

Separation and divorce create a different version of the same problem. A joint home loan binds both spouses to the lender regardless of what a court orders between them, because the lender is not a party to that order. If one spouse is to take the house and the loan, that requires the lender's written consent to a transfer of the loan or a fresh sanction in one name. Until that letter exists, both names stay on the loan, both credit files stay exposed, and both remain liable for every EMI.

33. The first 24 hours after a notice arrives

The instinct is to put the envelope in a drawer. The cost of that instinct is measured in months of options. Read it the same day and identify which of five things it actually is, because each one starts a different clock.

What arrived	Who sent it	Clock it starts	First move
Demand notice under Section 13(2), SARFAESI	Secured creditor, through its authorised officer	60 days to pay; your objection must be answered in 15 days	Object in writing under Section 13(3A) and propose a settlement or restructuring in the same letter
Loan recall or acceleration notice	Lender	As stated in the contract, usually 15 to 30 days	Ask for the full statement, then propose restructuring in writing
Legal notice before a civil suit	Lender's advocate	Usually 15 days to reply	Reply in writing, point by point, and keep the postal proof
Notice under Section 138, cheque dishonour	Payee or their advocate	15 days from receipt to pay	Pay and get a written acknowledgement, or reply; after 15 days a complaint follows within a month
Arbitration notice	Lender or the named arbitrator	As stated, often 7 to 15 days	Respond. Silence produces an ex parte award you will spend years undoing

Then do five things before the day ends. Note the date on the notice and the date you received it, and keep the envelope. Confirm the sender is really your lender or the assignee it names, by calling the number on the lender's website rather than the number printed on the letter. Request the statement of account with the break-up. Write one page setting out your position and what you are asking for. And put the next four dates in your calendar — day 7 to send the representation, day 15 for the reply, day 45 for the tribunal window if enforcement begins, day 60 as the last day of the notice period.

> **Never do these three things in the first 24 hours**
>
> Do not sign any document an agent brings to your door, whatever it is called. Do not pay anything in cash to an individual. And do not send a reply that admits the full amount claimed before you have checked the arithmetic — a written admission is the hardest thing to take back.

34. Fifteen minutes with a lawyer: what to ask

If the matter has reached a tribunal, an arbitration or a suit, you need a lawyer. The consultation is short and expensive, so arrive with documents and leave with answers to eight questions.

1. Which forum is this in, and what is the deadline I am actually facing?
2. Is there a defect in the notice or in the lender's procedure that is worth raising?
3. What is my realistic best outcome, and what is the most likely one?
4. If I want to challenge this, what does it cost — court fee, my fee, and the deposit the tribunal may require?
5. Do I qualify for free legal aid for this particular matter, and if not, why not?
6. What should I do this week, regardless of what you decide later?
7. What is your fee structure — fixed per stage, or per hearing — and what is in writing?
8. If I settle instead, what should the settlement letter say so that it protects me?

Bring the notice with its envelope, the loan agreement, the Key Facts Statement, the statement of account, your payment proofs, every letter and email you have sent, and your credit report. A lawyer who

can see the whole file in five minutes will charge you for one meeting instead of three.

And know when you do not need one. A KFS dispute, a wrongly applied charge, a recovery conduct complaint, a CIBIL correction, a restructuring request, a settlement negotiation and an RBI Ombudsman complaint are all things you can do yourself, for free, with the templates in Part 7. Spending Rs 15,000 on a lawyer for a charge that the Ombudsman will correct in six weeks is money you needed for the EMI.

Ask one more question that lawyers respect and clients forget: what happens if we do nothing for sixty days? A good answer tells you whether the lender's next step is a notice, a possession, or a sale — and how much time that actually buys. A vague answer tells you to get a second opinion.

Two things will make the engagement work. Fix the scope in writing — 'representation in the Section 17 application before the DRT, up to first hearing' is a scope; 'handle my loan case' is an open account. And ask for a one-line update after every hearing by message, so you are never the person who finds out six weeks later that an interim order was refused.

Be ready to hear that settling is the better outcome. The strongest legal position in a recovery matter is rarely a complete win; it is a documented defect that improves the terms of a settlement. A lawyer who tells you the notice is defective and then negotiates a 40% reduction has done more for you than one who promises to fight for three years.

Task	Do it yourself, free	When to pay a lawyer
Requesting a statement, KFS or charge break-up	Yes. Section 39 template	Never
Recovery conduct complaint to the lender and the RBI	Yes. Sections 38 and 40	Never
CIBIL correction or 'Settled' to 'Closed'	Yes. Section 26	Only if the bureau refuses twice
Restructuring or settlement proposal	Yes. Sections 20 and 41	Only if the amount is large and the lender is unresponsive
Objection to a Section 13(2) notice	Yes, and then get it reviewed. Section 42	Worth paying for a review, not for drafting
Section 17 application before the DRT	Only with free legal aid. Section 17	Yes, unless DLSA takes it
Arbitration or a civil suit	No	Yes, immediately

That table is the honest division of labour. Most of what this book describes is paperwork and persistence, and neither requires a professional. The two places where a professional changes the outcome are the tribunal and the courtroom — and in both, the question of whether you qualify for free legal aid should be asked before any fee is discussed.

One last thing about this part. The situations here are the ones where people feel most alone: a card that will not stop compounding, a guarantee signed for a cousin, a parent's loan arriving with the condolence letters, an envelope from a lawyer, a first meeting with a stranger who charges by the hour. None of them is unusual, all of them have a process, and every process in this book has a first step that costs nothing and can be taken today.

PART 7

Tools, templates and checklists

Print these. Fill them in with a pen. The value of this part is not in reading it but in having a dated piece of paper when someone asks you to prove what you said and when.

35. The 30-day action plan

Days	Do this	Why it matters
1-3	Write down every debt: lender, account number, EMI, due date, balance, days overdue. One sheet.	You cannot negotiate a number you have not counted.
1-3	Stop every auto-debit you cannot fund, and tell the lender in writing before it bounces.	A written warning before a bounce reads as cooperation; after, it reads as default.
4-7	Request a full statement of account with break-up from each lender.	Creates a record and starts the audit.
4-7	Run the audit in section 3. Note every charge that is not in your KFS.	Finds money and gives you a point of leverage.
8-14	Send the hardship or restructuring request to every lender you cannot service.	Puts you in the customer-in-difficulty process while it still exists.
8-14	Start the call log (section 37) and save every SMS and email.	Evidence is the only thing that survives a change of officer.
15-21	Rank your debts: secured first, then the largest unsecured, then the small overdue ones.	Order of attack decides whether you keep the house.
15-21	Decide your option per debt using the table in section 19.	One decision per debt, written down, stops the churn.
22-25	Make one written settlement or restructuring proposal with a number and a date.	A specific proposal is the only kind that gets approved.
22-25	Pull your free credit report from all four bureaus and circle every error.	You need the baseline before you can fix it.
26-28	File the first grievance with the lender's grievance officer for anything unresolved.	Starts the 30-day clock for the RBI Ombudsman.
29-30	Write the one-page position: what I owe, what I can pay, what I have asked for, what is pending where.	Your script for every future call, and your brief for any lawyer.

36. Master document checklist

Keep one physical folder and one phone album. Scan everything as you get it; paper fades and phones get lost.

- **Identity:** Aadhaar, PAN, address proof.
- **Loan:** sanction letter, loan agreement, Key Facts Statement, amortisation schedule, disbursement proof.
- **Payments:** bank statements covering the whole loan, receipts for every payment including cash, UPI references, NACH mandate copies.
- **Correspondence:** every notice received with its envelope and date, every email sent and received, screenshots of SMS alerts, the call log.

- **Hardship proof:** termination letter, salary slips, hospital bills, death certificate, business loss records — whatever explains the gap.
- **Actions taken:** copies of your written requests with postal receipts or email acknowledgements, complaint reference numbers, the credit report and any dispute acknowledgements.

37. Call log and evidence sheet

One row per contact. Fill it in during the call, not afterwards. In a dispute, a contemporaneous log is worth more than a detailed recollection six months later.

Date & time	Who called (name, agency, number)	What was said	Your response	Evidence saved
__/__ 10:20	Example: R. Kumar, ABC Agency, 98xxxxxx	Demanded full payment today, said police case would be filed	Asked for agency name, authorisation letter and prior intimation; said I would respond in writing	Call recording, screenshot

Two habits make this sheet useful. Note the exact words used for anything threatening, in quotation marks — 'police case', 'we will come to your office', 'we will tell your neighbours' are the phrases that matter. And note the time of any call outside 8:00 am to 7:00 pm, because the hour is the breach.

38. The escalation ladder

There are five rungs and each one is free. Climb them in order, because skipping a rung is the most common reason a complaint is closed without action.

Rung	Where	Timing	What to send
1. Branch or call centre	Your lender's usual channel	Immediately	The request itself, and a reference number
2. Grievance or nodal officer	Named on the lender's website and in your loan documents	If no resolution in a week	Written complaint with documents, by email and post
3. RBI Complaint Management System	cms.rbi.org.in, or crpc@rbi.org.in, or post to the Centralised Receipt and Processing Centre, RBI, Sector 17, Chandigarh 160017	After 30 days with no reply, or on rejection	Full facts, dates, documents, the relief sought, and a declaration that the complaint is maintainable
4. RBI Ombudsman award	Same complaint, handled under the Integrated Ombudsman Scheme 2021	Within one year of the lender's reply, or one year and 30 days if no reply	Nothing extra; the CMS complaint is the complaint
5. Appellate Authority	Executive Director in charge of the RBI's Consumer Education and Protection Department	Within 30 days of an award or rejection	A short appeal against the specific finding

Three facts about rung 3 that people do not know. There is no fee and no third party is needed — the RBI has specifically warned that no one is authorised to charge for filing these complaints. An advocate cannot represent you unless the advocate is the complainant. And the Ombudsman can award compensation of up to Rs 1 lakh for loss of time, expenses, harassment and mental anguish, on top of resolution of the dispute itself, provided the consequential loss claimed is Rs 20 lakh or less. The toll-free contact centre is 14448.

39. Template: written complaint to your lender

Copy, fill, send by email and registered post

To: The Grievance Redressal Officer, [Lender name], [Branch and address]

Subject: Complaint regarding loan account [number] — recovery conduct and account statement

1. I hold loan account [number], sanctioned on [date] for Rs [amount].
2. On [date] at [time], [name/agency] contacted me on [number] and stated [quote the words used]. No prior intimation of the agency's details was sent to me.
3. I have requested a complete statement of account with a break-up of principal, interest, penal charges and other charges on [dates]. No statement has been provided.
4. Penal charges of Rs [amount] have been applied on [date]. I request the clause relied on and confirmation that no interest has been computed on those charges.
5. [Add any payment not credited, with date, amount and reference.]
6. I request: (a) a complete statement of account; (b) the computation of all charges with the contractual basis; (c) copies of all notices issued to me; (d) a decision on my restructuring request dated [date] within 15 days; (e) written confirmation that recovery contact will be limited to me and my guarantor, between 8:00 am and 7:00 pm.
7. Please provide a complaint reference number. If I do not receive a satisfactory response within 30 days, I will place this complaint before the Reserve Bank of India under the Integrated Ombudsman Scheme, 2021.

Name, address, mobile, email, date, signature. Enclosures: [list].

40. Template: RBI CMS complaint

File at cms.rbi.org.in. Keep it factual and short; the portal asks for specific fields and long narratives get lost. Use this structure.

Structure for the complaint narrative

Entity and branch: [lender, branch, address]
Account: [loan account number]
My written complaint to the lender: dated [date], reference [number], sent by [email/post]
Their reply: [date and substance] / no reply received

Facts: [three to five numbered sentences — date, what happened, what rule applies, what it cost you]

Deficiency alleged: (i) recovery contact outside permitted hours and/or with third parties; (ii) charges levied without disclosure in the Key Facts Statement; (iii) interest computed on penal charges; (iv) payment of Rs [amount] on [date] not credited; (v) no reply to a written restructuring request.

Relief sought: correction of the account and refund of Rs [amount]; confirmation of the corrected position to credit bureaus; compensation for harassment under the Scheme.

Declaration: this complaint is not non-maintainable under clause 10 of the Scheme; it is not pending before any court, tribunal or arbitrator.

41. Template: settlement proposal

Mark the letter 'Without prejudice' at the top

Subject: Proposal for one-time settlement — loan account [number]

1. The account is presently classified [NPA/overdue] with an outstanding of Rs [amount] as per your statement dated [date].
2. I am unable to pay the full amount. My circumstances are [one line]. I have arranged funds from [source] which are available only until [date].
3. Without prejudice to my rights and without admission of the amount claimed, I offer Rs [amount], being [x]% of the principal outstanding, payable within [7/15] days of your written acceptance.
4. This offer is conditional on your written settlement letter confirming that: (a) the amount of Rs [amount] is accepted in full and final settlement of all dues under the account; (b) no further amount, interest, charge or cost will be claimed; (c) a No Dues Certificate and closure letter will be issued on receipt of payment; (d) the account will be reported to credit bureaus as closed on payment, and you will confirm this to the bureaus on request.
5. I request a response by [date]. If the proposal is not acceptable, please confirm the same in writing with the amount you would accept.

Name, date, signature.

42. Template: representation under Section 13(3A)

Send within the 60 days, by email and registered post, and keep both receipts. This is a legal representation, so keep it factual and attach everything you rely on.

To the Authorised Officer, [Lender], [address]

Subject: Representation under Section 13(3A) of the SARFAESI Act, 2002 — notice dated [date] under Section 13(2), loan account [number]

1. I am the borrower under loan account [number], secured by [describe the secured asset]. I have received your notice dated [date] under Section 13(2) demanding Rs [amount] within 60 days.
2. I object to the notice and to the amount claimed on the following grounds, each supported by the documents annexed:
(a) The amount claimed is incorrect. As per the statement dated [date], the outstanding is Rs [amount]. The difference of Rs [amount] arises from [charges/interest/penal amounts].
(b) Penal charges of Rs [amount] have been levied and appear to have been capitalised, contrary to the RBI circular on Fair Lending Practice — Penal Charges in Loan Accounts dated 18 August 2023.
(c) Charges of Rs [amount] do not appear in the Key Facts Statement furnished to me and have been levied without my consent.
(d) A payment of Rs [amount] made on [date] by [mode, reference] has not been credited.
(e) The account was classified as a non-performing asset on [date]. I request the basis of classification, given the payments made on [dates].
3. I request: a complete statement of account with break-up; the computation of all charges with the contractual clause relied upon; copies of all notices issued; and a speaking reply to each objection above within 15 days, as required by Section 13(3A).
4. Separately and without prejudice, I propose [restructuring on the terms set out in the annexed proposal / a one-time settlement of Rs [amount]] and request a decision within 15 days.
5. I place this representation on record for the purposes of Section 13(3A) and will rely on your reply in any proceeding.

Name, address, date, signature. Annexures: statement of account, payment proofs, KFS, correspondence.

43. Quick-reference card

Question	Answer
When does my loan become an NPA?	90 days past due. SMA-0 is 1-30 days, SMA-1 is 31-60, SMA-2 is 61-90.
When can recovery agents call me?	Between 8:00 am and 7:00 pm, and only about the loan, with me or my guarantor.
Do they have to tell me before visiting?	Yes. Agency details must be intimated before the first visit; from 1 January 2027 at least one day in advance.
Can my financed phone be locked?	Only after 30 days past due, gradually, never blocking incoming calls, SMS or SOS, and unlocked within an hour of payment.
How long do I have after a 13(2) notice?	60 days to pay or object. The lender must reply to an objection within 15 days.
How long to approach the DRT?	45 days from the Section 13(4) measure.
Is there a jail term for not repaying?	No. Only cheque dishonour under Section 138 and actual fraud are criminal.
How long does a settlement stay on my file?	Up to seven years, reported as 'Settled'. It can become 'Closed' once the balance is cleared.
Where do I complain for free?	Lender's grievance officer, then cms.rbi.org.in. Toll-free 14448. No fee, no advocate.
How much can the Ombudsman award?	Resolution plus up to Rs 1 lakh for harassment; consequential loss claimed must be Rs 20 lakh or less.
Can I get free legal help?	Yes, from your District Legal Services Authority if you fall under Section 12 of the Legal Services Authorities Act.
What should I never do?	Pay cash without a receipt, sign a blank paper, share an OTP, or pay a 'settlement agent' a fee.

44. Glossary

SMA	Special Mention Account. The internal label for an overdue account before it becomes an NPA, in three buckets: 1-30, 31-60 and 61-90 days.
NPA	Non-performing asset. An account with no repayment for 90 days or more. It unlocks secured enforcement powers.
KFS	Key Facts Statement. A one-page, standardised disclosure of the loan's terms, all charges and the all-in APR, mandatory for retail and MSME term loans sanctioned from 1 October 2024.
APR	Annual Percentage Rate. The true annual cost of credit, including interest and every other charge.
Penal charge	A rupee charge for breaching a loan term. Since 1 January 2024 it replaces penal interest and cannot itself earn interest.
OTS	One-time settlement. The lender accepting a lump sum below the total outstanding and closing the account.
NOC	No Objection Certificate. The lender's written confirmation that nothing remains due and it has no claim on the security.
SARFAESI	The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002. The route for enforcing security without a court.
Section 13(2) notice	The demand notice giving 60 days to pay before enforcement measures.

Section 13(3A)	The borrower's right to object in writing, with a mandatory reasoned reply within 15 days.
Section 13(4)	The enforcement measures: possession, management takeover, manager appointment, or directing a purchaser to pay the lender.
DRT	Debts Recovery Tribunal. Where a Section 17 application against enforcement is filed, within 45 days.
DRAT	Debts Recovery Appellate Tribunal. Hears appeals from DRT orders within 30 days, subject to a deposit.
Arbitration	A contractual route to a binding decision outside court. Silence after an arbitration notice produces an ex parte award.
NACH	The National Automated Clearing House mandate that debits your EMI. A bounce is a contractual default, not a cheque dishonour.
LSP	Lending Service Provider. The entity that runs a loan app for a regulated lender. The lender remains liable for its conduct.
CMS	The RBI's Complaint Management System at cms.rbi.org.in, the single entry point for complaints against regulated entities.
RB-IOS	The Reserve Bank - Integrated Ombudsman Scheme, 2021, under which CMS complaints are decided.
DLSA	District Legal Services Authority. The free legal aid office in your district court premises.
Assignment	The transfer of a loan by a lender to an asset reconstruction company. The new holder gains the lender's powers, not new ones.

45. Sources

Every rule, period and figure in this playbook was taken from the following official or primary sources in October 2026. Where a rule changes on 1 January 2027, both the current position and the change are stated in the text.

- Reserve Bank of India — Responsible Business Conduct Directions, 2025, and the Fourth Amendment Directions, 2026 (recovery of loan dues and engagement of recovery agencies), issued 6 August 2026, effective 1 January 2027. rbi.org.in
- Reserve Bank of India — Recovery Practices Directions for non-banking financial companies, 2026, effective 1 January 2027, with certification transition to 1 January 2028.
- Reserve Bank of India — Digital Lending Directions, 2025, dated 8 May 2025. rbi.org.in
- Reserve Bank of India — Key Facts Statement (KFS) for Loans and Advances, dated 15 April 2024, applicable to retail and MSME term loans sanctioned from 1 October 2024. rbi.org.in
- Reserve Bank of India — Fair Lending Practice: Penal Charges in Loan Accounts, dated 18 August 2023, effective 1 January 2024, and the accompanying FAQs dated 15 January 2024. rbi.org.in
- Reserve Bank of India — Reset of Floating Interest Rate on EMI based Personal Loans, dated 18 August 2023, as updated on 1 October 2025, and the RBI FAQs. rbi.org.in
- Reserve Bank of India — The Reserve Bank - Integrated Ombudsman Scheme, 2021, and the RBI FAQs updated 19 December 2024. rbi.org.in and cms.rbi.org.in
- Reserve Bank of India — press release dated 9 March 2022 confirming that no third party is authorised to charge for filing RB-IOS complaints, and the contact centre number 14448.
- The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 — Sections 13(2), 13(3A), 13(4), 17 and 18.

- The Negotiable Instruments Act, 1881 — Section 138 and Section 142, including the provisos on the 30-day notice, 15-day payment window and one-month limitation.
- The Legal Services Authorities Act, 1987 — Section 12, and the National Legal Services Authority's published eligibility criteria and state income ceilings. nalsa.gov.in
- TransUnion CIBIL — guidance on the difference between 'Settled' and 'Closed' status and the dispute route to correction. cibil.com
- Press Information Bureau — measures against unauthorised loan apps, including the Sachet portal, cybercrime.gov.in and the 1930 helpline.

This playbook is general information about Indian lending rules as they stood in October 2026. It is not legal or tax advice for your particular case, and rules change. Before acting on anything in Part 3, confirm the current position on the lender's own documents and, where a tribunal or court is involved, take advice from a lawyer or your District Legal Services Authority.